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California faces budget fight over immigrant healthcare

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Advocates are holding town hall meetings, driving buses around the state and organizing thousands of phone calls to leaders in the California Legislature to convince them to reject changes to immigrant healthcare coverage proposed by Gov. Gavin Newsom ahead of looming deadlines.

The governor wants to increase a monthly fee that many undocumented Californians have to pay to receive healthcare under Medi-Cal, the state's Medicaid program. He is also declining to extend full coverage to immigrants in the state who are being stripped of benefits by congressional Republicans and President Donald Trump.

The Legislature must pass a first draft of a budget by June 15 and the state's new fiscal year starts July 1.

"This is not a question of whether the state can protect its most vulnerable residents, it is a question of whether our leaders will," said Kiran Savage-Sangwan, executive director of the California Pan-Ethnic Health Network, at a rally near the Capitol last week to launch a "No Cuts to Care" bus tour around the state.

The governor's plan has left Savage-Sangwan and other advocates feeling betrayed by Newsom, who went from pushing to expand Medi-Cal coverage for undocumented immigrants to last year freezing enrollment and adding a monthly fee for immigrants who want to use the coverage. Those changes and ones proposed this year are designed to help the state control costs for the coverage that are only set to grow because of federal cuts.

The Governor's Office declined to comment, instead directing a reporter to the Department of Finance. H.D. Palmer, a spokesperson for the financial agency, said in an email: "Until an agreement is reached, speculation on the resolution of any differences would be premature."

Palmer said talks among the Legislature and Newsom administration are ongoing.

So far, the lobbying has only worked on state Senate leaders, who last month rejected Newsom's plans. Advocates are now amping up their pressure campaign on Assembly leaders who have sought to project more fiscal caution than their Senate counterparts.

The budget plan the Assembly recently released did not push back on Newsom's plans for immigrant healthcare.

"I want to be direct about my view that the Legislature must exercise fiscal discipline and restraint," Assembly Budget Chairman Jesse Gabriel, D-Encino, wrote in a letter to his colleagues, explaining the overall spending plan. "I appreciate that this will be disappointing to many stakeholders, but I firmly believe it is what this moment requires of us."

Direct appeals to leadership

Advocates recently held a town hall in Gabriel's district. They also organized one in the district of Assembly Speaker Robert Rivas, D-Hollister, on Friday, to put pressure on the key Assembly leaders.

"If the Legislature is going to fundamentally propose changing how Medi-Cal has been working in California, we need state leaders to directly hear from immigrant community members on the ground," said Masih Fouladi, executive director of the California Immigrant Policy Center.

The group held a press conference in Oakland on Friday and has helped organize over 3,000 phone calls to the offices of Rivas and Senate President pro Tem Monique Limón, D-Santa Barbara, to urge them to reject Newsom's plan.

"He needs to be listening to community members," Fouladi said of Rivas. "We know his heart is in the right place, but it just might be that he is not hearing from the community enough."

Nick Miller, a spokesperson for Rivas, said the Assembly's goal was to deliver both a responsible and compassionate budget.

"The magnitude of Trump's health care cuts is historic - no state can backfill them," he said. "Assembly leaders are doing everything in their power to reject, delay and soften these cuts.

Legislative support for immigrant healthcare

The stance from Assembly leaders comes even though many of that chamber's leading healthcare policymakers - including Assembly members Mia Bonta, D-Alameda and Dawn Addis, D-Morro Bay, the chair of the Assembly's budget subcommittee on healthcare - have been the Legislature's most outspoken voices against Newsom's cuts to immigrant health access.

At a May 19 budget subcommittee meeting, Addis criticized the governor's budget for maintaining positions lawmakers had previously rejected.

"There are many things in this May revision that the Legislature and many of our members, with great emotion, said 'no' to last year," Addis said. "So last year we agreed to a $30 premium for Medi-Cal for ... certain undocumented individuals. Many in the Assembly found that to be a tough pill to swallow, yet we reached agreement. However, now the administration is proposing a $50 Medi-Cal premium, and I don't think people are going to be happy about that."

But the Assembly budget plan does include the governor's proposed $20 monthly premium increase, which the Senate side rejected.

In a statement Friday, Addis described the Assembly plan as defending health care access.

"Our Assembly proposal directly responds to billions in cuts from Trump's H.R. 1 and repeated Republican attacks on healthcare with a responsible, stable plan," she said, referring to the federal bill Congress passed that restricted Medicaid coverage.

Bonta, on the other hand, called for more changes to the Assembly plan during the Friday news conference in Oakland.

"California made a promise: Health for all," she said. "If we allow for a two tier Medi-Cal system, our immigrant neighbors will get sick and die at rates that their neighbors will not."

The Assembly budget also does not support the Senate's adoption of a new tax proposal, engineered in large part by Bonta and her allies in both chambers. It would tax mega corporations who don't provide health insurance and leave employees' care up to the state. Instead, it directs legislative staff to prepare bills for the Legislature to consider in 2027.

The Senate budget plan relies on that tax to avoid some cuts this year, predicting it would generate as much as $8 billion.

But a bill increasing taxes would need two-thirds support in both chambers. Newsom gave little indication he backed the idea. Though the proposal has been in the public eye for months, the governor's updated May budget

plan proposed different efforts to raise revenue - most notably a sales tax on software programs and capping corporate tax credits.

Assembly budget writers include a number of efforts to soften federal healthcare cuts. They propose a $250 million fund to support public hospitals, and another $250 million to help counties deal with increased emergency room visits from people predicted to lose regular health coverage under the federal cuts. Though not tied to healthcare, the Assembly leaders also proposed a $100 million appropriation to provide immigration attorneys for undocumented people caught up in Trump's deportation drive.

Limón, the top official in the Senate, through a spokesperson declined to comment on the decision by the chamber's leaders to reject the governor's plan and directed questions to Senate Budget Chair John Laird, D-Santa Cruz. Laird, in a statement, called the governor's proposed coverage changes for immigrants "draconian" and said he looked forward to working with the Assembly and Newsom "to ensure the state maintains its commitments to protect healthcare access for this essential part of our California community."

State Sen. Caroline Menjivar, D-Panorama City, who chairs a Senate's budget subcommittee on healthcare, said during a recent hearing that she was proud leaders in the chamber "held the line" and thanked advocates for sharing their stories with her.

"At least the state Senate can say that they did their part," she said.

Advocates are hoping their efforts will lead to the same outcome in the Assembly.

"We will be continuing to raise our voices in cities around the state doing everything that we can," Savage-Sangwan said. "Because this is too important for us to lose this battle."

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